

GRUPO BIMBO

NOURISHING A BETTER WORLD

# Investor Presentation

## Third Quarter 2022

# Grupo Bimbo Today

Control Group: 81%
Float: 19%

ARGENTINA
BRAZIL
CANADA
CHILE
CHINA
COLOMBIA
COSTA RICA
ECUADOR
EL SALVADOR
FRANCE
GUATEMALA
HONDURAS
INDIA
ITALY
KAZAKHSTAN
MEXICO
MOROCCO
NICARAGUA
PANAMA
PARAGUAY
PERU
PORTUGAL
RUSSIA
SOUTH AFRICA
SOUTH KOREA
SPAIN
SWITZERLAND
TURKEY
UKRAINE
UNITED KINDOM
UNITED STATES
URUGUAY
VENEZUELA




**+100** brands

**+10k** products

**+55k** routes

**+3.3m** points of sale

**+1,600** sales centers

**203** bakeries and other plants

**+138k** associates

**US$ 15.6 Bn**
**Market Cap(1)**

**US$ 18.9 Bn**
**Net Sales(2)**

**US$ 2.5 Bn**
**Adj. EBITDA(3)**

*(1) Figures as of September 30, 2022. Excludes Ricolino. Expressed in US at the FX of $20.14 Ps./US. (2) LTM Net Sales and Adjusted EBITDA with IFRS16 effect were Ps. $384,528 million and Ps.$51,897 million, respectively. Converted to US dollars using an average FX rate for the period of $20.28 Ps./US. (3) Adj. EBITDA: Earnings before interests, taxes, depreciation, amortization and Multiemployer Pension Plans ("MEPPs")*

# One More Record Quarter in Sales and Profits

## Highlights[1]

- **Net Sales reached a record level for a third quarter** at Ps. 102,821 million, an increase of 20%, primarily due to strong price/mix performance and volume increase
- **Operating Income rose 37.6%** and the margin expanded 140bps, reaching 10.7%
- **Adjusted EBITDA[2] grew 15.2%;** while the margin contracted 60bps mainly due to higher raw material costs and a highly inflationary environment
- **Net Majority Income improved by 50.8%** and the margin expanded 120 bps, to 5.9%
- **Return on Equity reached a record 16.7%**
- **Net Debt/Adjusted EBITDA ratio closed the quarter at 2.0 times**

## Recent Developments

- **Grupo Bimbo acquired St. Pierre**, a leading baking player in the premium brioche category in the U.S. and the U.K.
- Grupo Bimbo held the 2022 **Bimbo Global Race**, and thanks +341K participants, **+6.8 million slices of bread are being donated to food banks around the world**
- **The Company will add 1,001 electric vehicles** for its distribution fleet in Mexico, with this Grupo Bimbo will have +2,300 vehicles with zero carbon emissions
- **Bimbo China Organization is now operating with 100%** renewable electricity

*(1) As reported in the note "Information to disclose on Assets Held for Sale" the confectionery business of the Company is in the process of being sold, therefore, the results of the period generated by said business are presented as a discontinued operation in the income statement. (2) Adjusted with MEPPs non-cash charges.*

# Becoming a Stronger Leader in Grain-Based Foods

**Signed an agreement with Mondelēz International, Inc. to sell "Ricolino[1]"**

## Transaction

- **An enterprise value[2] of $27 Bn pesos (US$1.3Bn[3])**
- Use of proceeds: pay debt, capital investments' plan, and other general corporate purposes
- It is still subject to regulatory approvals

*"This transaction strengthens our financial profile, as it is accretive for Grupo Bimbo, while it enhances our long-term focus in our core categories".*

– Diego Gaxiola, CFO

## About Ricolino

- **A leading player in the confectionery category in Mexico**
- Net Sales: $10,147 mm pesos (US $500 mm[4])
- Employs ~ 6,000 associates and has 4 plants




*(1) Including its shares on Productos Ricolino S.A.P.I. de C.V., Productos de Leche Coronado S.A. de C.V., Ricolino S.A. de C.V., and its global brand portfolio. (2) Enterprise value will be adjusted upon closure for concepts such as cash, debt and other typical concepts included in this type of transactions. (3) Considers an FX rate of Ps. 20.32 per US$. (4) Considers an FX rate of Ps. 20.28 per US$.*

# Leading Brands Across our Markets

## North America

### U.S.




### Canada




## Mexico




## Latin America




## EAA



# Globally Present, Locally Committed



Market share leader within **7 categories**

**U.S.**
Premium bread
Breakfast
Buns & rolls

**Canada**
Bagels
Cakes
Sliced bread
Tortillas

## North America (1)

**51.4%** Net Sales | **42.0%** Adj. EBITDA

**+26K** associates
**79** bakeries

## EAA (3)

Top 3 market share within 7 categories in most countries(4)

**+14K** associates
**52** bakeries

**9.6%** Net Sales
**5.1%** Adj. EBITDA

## Mexico

**29.3%** Net Sales
**47.0%** Adj. EBITDA

**+73K** associates
**36** bakeries

Market share leader within **10 categories**

Sliced bread
Buns & rolls
Pastries
Cakes
Confectionery

Toasted bread
Flatbread
Totopos
Tostadas
Bars

## Latin America (2)

**9.7%** Net Sales | **5.9%** Adj. EBITDA

**+22K** associates
**36** bakeries

Market share leader in sliced bread and buns & rolls

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*Figures as of September 30, 2022. Market share information from Nielsen, IRI and Company Information for the countries and categories where Grupo Bimbo participates.*
*(1) Includes operations in the U.S. and Canada. (2) Includes operations in Central and South America. (3) Includes operations in Europe, Asia and Africa.*
*(4) Buns and rolls category excluded in U.K and India. Cakes excluded in China, Morocco and U.K., Bagels only in the UK market.*

# Global Undisputed Baking Industry Leader

## INDUSTRY STRUCTURE

- Mature life cycle
- Increasing regulatory environment
- High competition level
- Medium technology change
- Low revenue volatility
- Low barriers of entry

## INDUSTRY PERFORMANCE

- Resilience to economic downturns
- Europe & North America: largest contributors to industry revenue in 2019
- North Asia: rising income levels and changing diets to bread

## INDUSTRY OUTLOOK

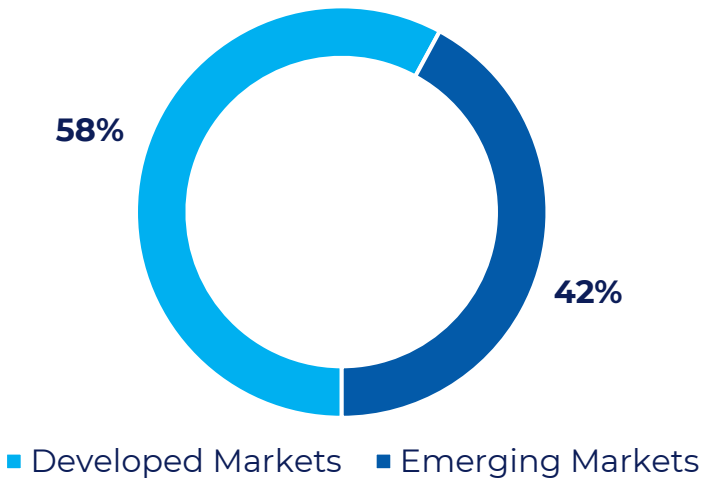
- Expected Growth from EM Countries
- Organic and gluten-free baked goods in the U.S.
- Whole grain and high-fiber breads in Western Europe
- Consumers becoming more health-conscious and trending towards snacks




(1) Source: GlobalData 2021, retail sales. Includes Bread and Rolls, Sweet Biscuits (cookies), Savory Biscuits (crackers), Morning Goods, Cakes, Pastries & Sweet Pies

# Diversified Portfolio Across Geographies, Categories & Channels

## By Geography [1]




- We have one of the world's largest DSD networks
- Our distribution fleet travels every day the equivalent to 131 laps around the world

## By Category


SLICED BREAD


BUNS & ROLLS


PASTRIES


CAKES


COOKIES


TOAST


ENGLISH MUFFINS


BAGELS


TORTILLAS & FLAT BREADS


SALTY SNACKS

## By Channel

**Retail**
Supermarkets, convenience stores, among others

**Traditional**
"Mom & Pops"

**QSR**
Quick Service Restaurants

**Others**
Foodservice, wholesale, vending machines, among others

+1.1 MM Daily Store Visits

*(1) Net Sales for the last twelve months ended as of September 30, 2022. Excludes Ricolino.*

# Global Brands with Top of Mind Awareness




>US $1 bn (1)




>US $250 mm(1)




>US $500 mm(1)




>US $100 mm (1)

*(1) Internal information. Estimated retail sales by brand considering the last twelve months as of September 30, 2022*

# With Successful Expansion across Regions

From Colombia
to 19 countries

From U.S.
to 10 countries

From U.S.
to 5 countries

From Mexico
to 20 countries

From Mexico
to 9 countries

From Mexico
to 13 countries

From Mexico
to 16 countries

From Mexico
to 7 countries

From Mexico
to 28 countries*

From Mexico
to 4 countries

WE BRING OUR MOST SUCCESSFUL BRANDS TO NEW MARKETS, SATISFYING OUR CONSUMERS' PREFERENCE

## Priorities

- Maximize value generation
- Digital Transformation
- Sustainability
- Agile mindset

*Information as of September 30, 2022*
**Includes exports to other countries outside Grupo Bimbo's operations.*

# Clear and Ambitious Sustainability Strategy



# With Strong Commitment and Progress Towards our Sustainability Goals

| | | 2030 Goals | Progress as of 2022 | Our Contribution to SDG[1] |
|---|---|---|---|---|
| BAKED FOR YOU | Best Nutritional Profiles For All | **100%** simple and natural recipes in baking and snacks | **96%** products for daily consumption fully complied with maximum levels established for nutrients to be limited according to international recommendations |  |
| | Enabling Healthier Plant-Based Diets | **100%** products than can be part of a healthy plant-based diet | **94%** of bread & buns categories are part of a healthy plant-based diet | |
| | Transparent Sustainable Brands | **100%** products with nutritional transparency | In progress - evaluating gaps for sustainable brands | |
| BAKED FOR NATURE | Net Zero Carbon Emissions | Achieve the science-based target in line with a **1.5°C** future<br>Reduction of Co2 emissions vs. 2019: **50%** Scope 1 and **28%** Scope 3 | **110,000** solar panels installed<br>**107** photovoltaic rooftops in Spain, Peru, Chile, Italy, India, U.S., Mexico |  |
| | Zero Waste | **100%** packaging supports a circular economy | **57** bakeries with zero waste to landfill<br>**94%** waste recycled globally<br>**86%** "War on Food Waste" initiative completed<br>**90%** packaging recyclable<br>**90%** treated water is reused |  |
| | Regenerative Agriculture | **200,000** hectares of wheat farmed | **12,000** hectares of wheat farmed |  |
| BAKED FOR LIFE | Strengthening Communities | **1** social impact project at least per work center | **157** projects in Good Neighbor program<br>**+700K** beneficiaries, supported by 205 work centers | |
| | Caring For Our People | To create safe, healthy, diverse, equitable and inclusive workplaces | **2.28** TRIR[2]<br>**20.44** average training hours per associate | |

*(1) Sustainable Development Goals. (2) Total Recordable Incident Rate*

# Proven Ability to Meet our Customers' and Consumers' Evolving Needs Through Innovation

## Best Nutritional Profiles




Clean labeling




Positive Nutrition




Smart Portions

## Healthier Plant Based Diets




Cereal diversity




Cereal-based




Nutritional balance

## Transparent Sustainable Brands




**Nutritional transparency on-pack and online**

GRUPO BIMBO | VENTURES

**Alliances to transform the Innovation business model**

## Success Drivers

- Growth Opportunities
- Great Products
- Brand Penetration
- Scale

# Leading Management Team with Top-Notch Corporate Governance

## Commitees

### Steering Committee

| Name | Role |
|---|---|
| Daniel Servitje | CEO |
| Diego Gaxiola | CFO |
| Rafael Pamias | Executive VP, GB / CSO |
| Mark Bendix | Executive VP, GB |
| Fernando Lerdo de Tejada | Executive VP, GB |
| Raúl Obregón | Chief Information & Transformation Officer |
| Juan Muldoon | Chief People Officer |
| Miguel Ángel Espinoza | President, Bimbo Mexico |
| Alfred Penny | President, BBU |
| Alejandro Rodríguez | President, Barcel |

### Audit and Corporate

### Finance and Planning

### Evaluation, Results and Nominations

## Board of Directors

**39% are independent**

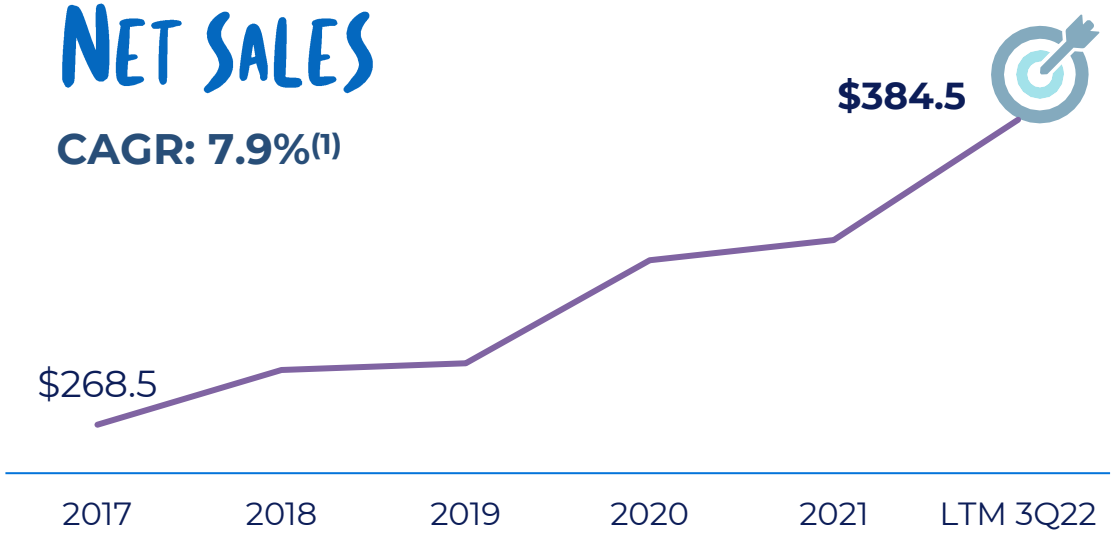
- For the 6th consecutive year, Grupo Bimbo ranked first as the Company with the Best Corporate Reputation in Mexico, by Merco,
- and for the 7th consecutive year, Daniel Servitje was named the leader with the best reputation in the country



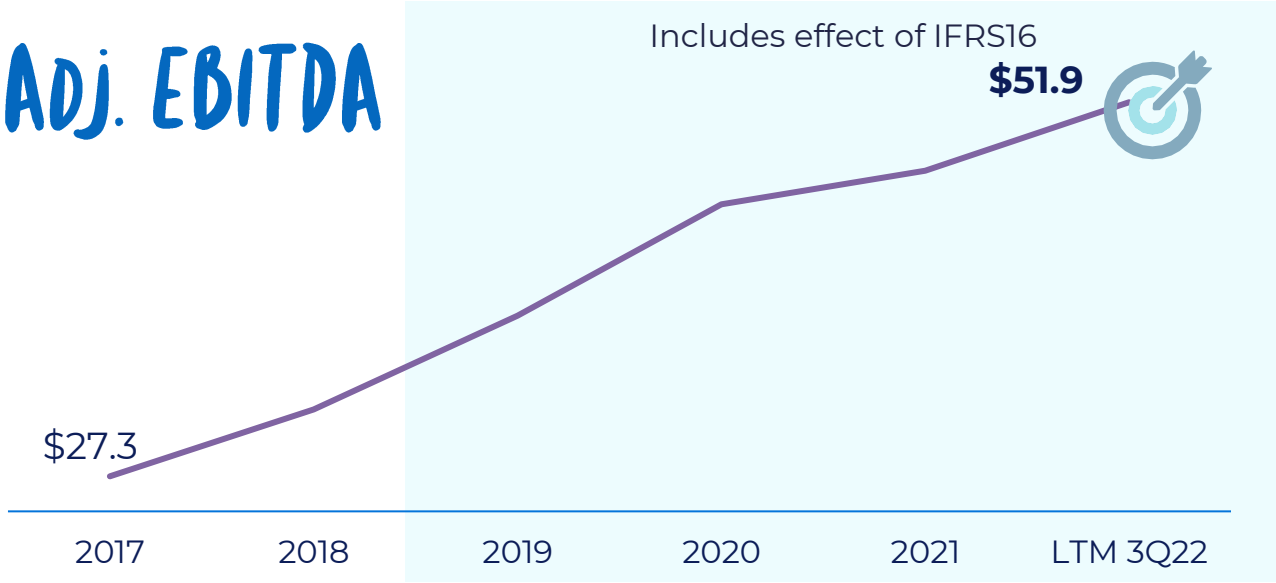
# Sustained Growth with Potential to Continue Increasing Profitability

## Net Sales

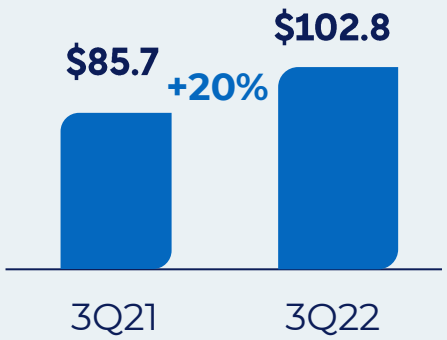
**CAGR: 7.9%(1)**




## Adj. EBITDA




### 3Q22 Net Sales




| Adj. EBITDA Margin | 2017(2) | 2018 | 2019 | 2020 | 2021 | LTM 3Q22 |
|---|---|---|---|---|---|---|
| GRUPO BIMBO | 10.2% | 10.9% | 13.0% | 13.7% | 14.0% | 13.6% |
| MEXICO | 17.7% | 18.2% | 19.3% | 18.3% | 19.1% | 18.8% |
| NORTH AMERICA | 9.2% | 9.0% | 11.3% | 12.9% | 12.2% | 11.0% |
| EAA | -8.4% | 0.4% | 6.3% | 7.6% | 7.9% | 7.1% |
| LATIN AMERICA | 1.9% | 2.6% | 2.2% | 4.9% | 7.0% | 8.2% |

*Figures expressed in billions of MXN. Ricolino's results have been removed from the last twelve months 2022 period.*
*(1) CAGR using a 4.75 year period (2) 2017-2018 Adj. EBITDA does not include the effect of IFRS16*

# Our Digital Transformation Journey

## Strategy

Digital Evolution to enable business growth and sustainability as an agile and consumer- centric company, through innovation & data driven decisions

## Cultural Impact

- Agility mindset and Data-Driven decision making
- Continuously challenging the status quo

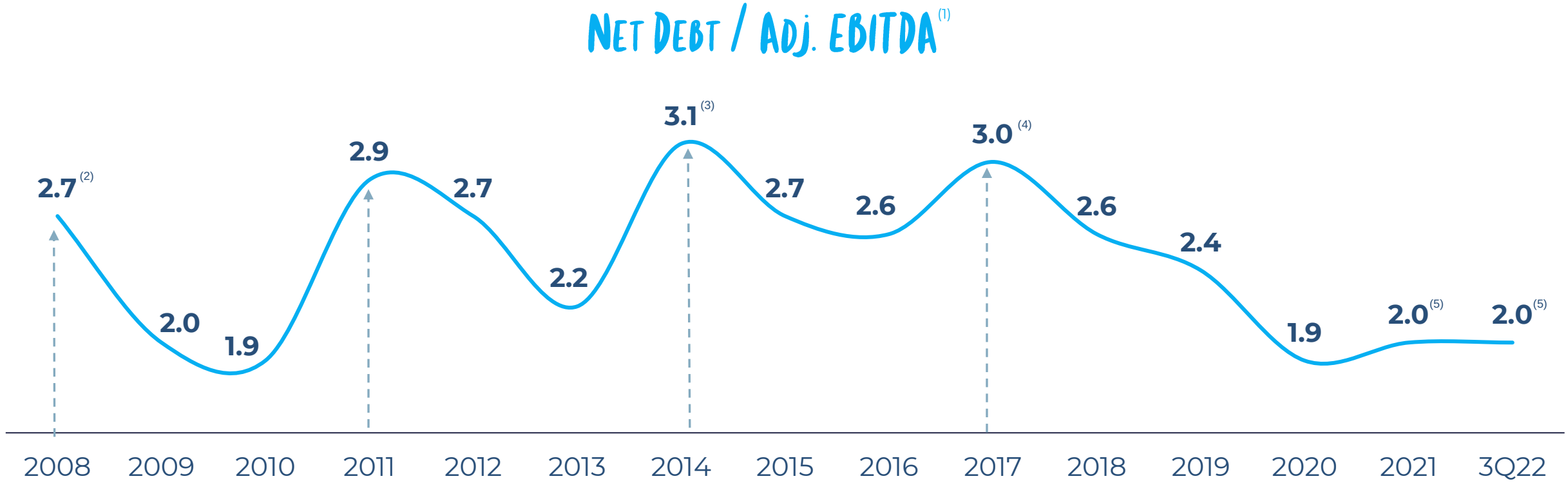
## Our transformation

**Secure Operations**

| Integrated Global Data | Move to the Cloud | Global Standard Applications | Connected with Customers and Consumers | Visibility Anywhere, Anytime | Augmented People Capabilities | Simplified & Intelligent E2E Value Chain |
|---|---|---|---|---|---|---|

**Support and Accelerate Sustainability**

# Proven Ability to Grow with Prudent Leverage




**US$ 2.4 Bn** | **US$ 709 mm** | **CAD$ 1.8 Bn** | **US$ 650 mm**

*(1) Adj. EBITDA w/o IFRS16: Earnings before interests, taxes, depreciation, amortization and MEPPs. (2) The acquisition of Weston Foods was consummated in January 2009. Leverage ratio giving pro-forma effect to the Weston Foods acquisition as if such acquisition (and the incurrence of the indebtedness thereof) was consummated on December 31st, 2008. (3) The acquisition of Canada Bread was consummated in May 2014. Leverage ratio giving pro-forma effect to the Canada Bread acquisition as if such acquisition was consummated on May 31, 2014, and Adjusted EBITDA includes 5 months of the EBITDA reported by Canada Bread for such year. (4) The acquisition of East Balt was consummated in October 2017. Leverage ratio giving pro-forma effect to the East Balt acquisition includes 9.5 months of the EBITDA reported by East Balt for such year (Ps.1,060 million or $56 million converted at the exchange rate of Ps.18.92 per $1 dollar which is the average of the daily exchange rates published by Banco de Mexico for the year ended December 31st, 2017). Our Adjusted EBITDA for the year ended December 31st, 2017, was Ps.27,289 mm. (5) Excludes Ricolino.*

# Conservative Debt Profile and Ample Liquidity

**Total Debt: US $4,911 mm**(1)

Avg. Tenor: **13.9 yrs.**

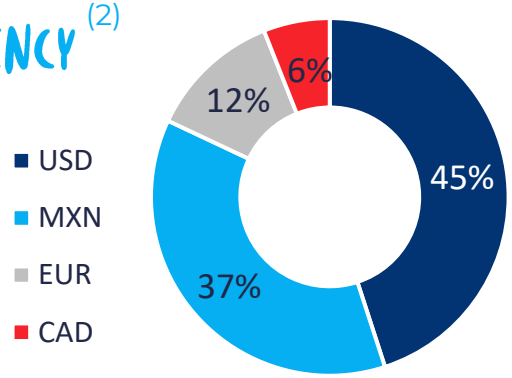
Avg. Cost: **5.7%**

Fixed: **82%**

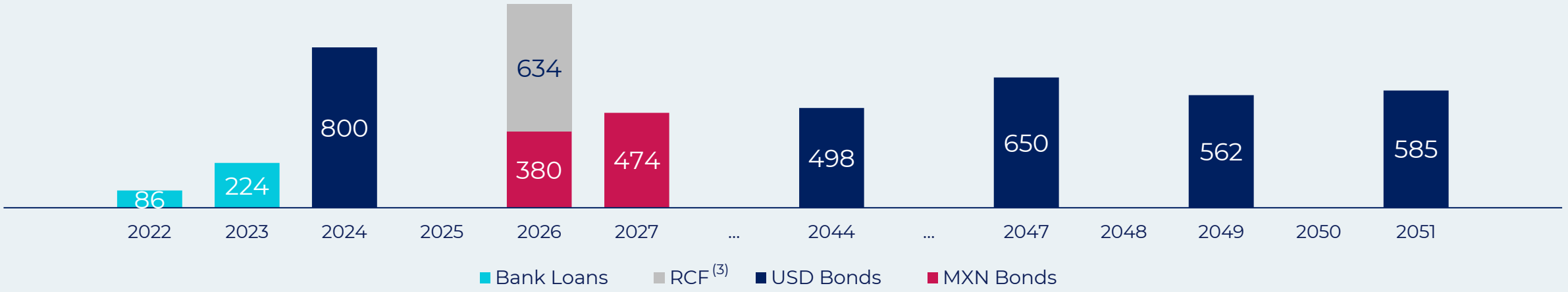
Ratings: **BBB/Baa2/BBB**

S&P/Moody's/Fitch

SPLIT BY CURRENCY (2)




## US $1.1 Bn in Undrawn Sustainability-linked Committed Revolver Facility




*Figures in US$ mm as of September 30, 2022. Debt profile does not include US $54 mm of long-term debt at subsidiary level. Includes 30-year issuance by BBU.*
*(1) Net of issuance costs (2) Considers derivatives and withholding tax (3) Revolving Credit Facility*

# Looking Forward: Another Upgrade to our 2022 Guidance

| | 2021 | | 2022 Guidance[2] | |
|---|---|---|---|---|
| | Guidance | Results | Prior | Current |
| Net Sales | Low single-digit | +5.4% ✓ | Low to mid-teens | Mid to high-teens |
| Adj. EBITDA[1] | High single-digit | +8.8% ✓ | High single-digit | Low double-digit |
| Effective Tax Rate | Mid to high-30's | 34% ✓ | Low to mid 30's | |
| CAPEX | US $900M-$1Bn | US $1.0Bn ✓ | ~US$1.3 – $1.4 Bn | ~US$1.3 Bn |

*(1) Adjusted EBITDA with IFRS16 effect (2) Excludes Ricolino.*



# Thank You

ir@grupobimbo.com
www.grupobimbo.com

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